

JPM | Strategic Payables Return on Investment for Denton County Electric Cooperative

January 2026

Solution live payments are pending completion of JPM controls process

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Things we've heard

OPPORTUNITY FOR IMPROVEMENT

PAIN

Manual Processes



Disjointed manual processes which are slow, costly and error prone

Working Capital and Cash Flow Management



Incurring late fees, unscheduled payments, missing early payment discounts, not earning rebates

Risk Management



Risk of fraud is rising with your current payment choices

Optimize your payment workflows with Strategic Payables

Offering you financial benefits and an exceptional experience for your suppliers

Benefits for you



Increase efficiency

- Automate and digitize your accounts payables processes to help reduce manual effort, avoid errors and lower costs



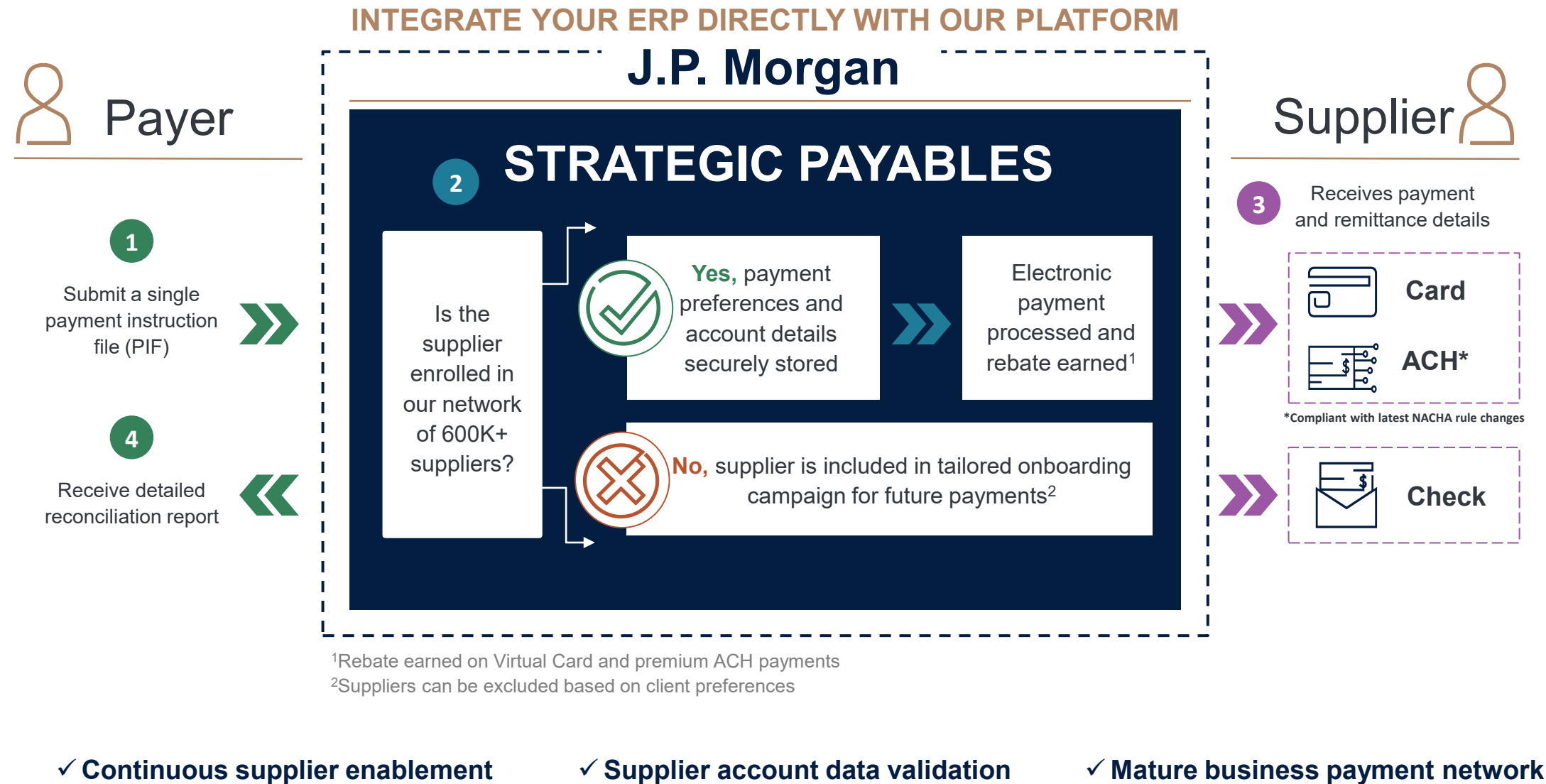
Mitigate fraud threats

- Outsource the collection, storage and validation of supplier account information, securing it with multi-level authentication



Monetize payments

- Increase rebate potential on Virtual Card and select ACH payments by leveraging our extensive supplier network



✓ Continuous supplier enablement

✓ Supplier account data validation

✓ Mature business payment network

Product Overview | Client and supplier benefits



Virtual Card

- ✓ **Monetize** payments by generating a rebate on spend
- ✓ **Working Capital benefits** by optimizing cash flow
- ✓ **Streamline & digitize** manual payments
- ✓ **Superior security** seamless integration, robust analytics

Premium ACH



- ✓ **Monetize** ACH supplier payments
- ✓ Customized reconciliation files directly back to ERP
- ✓ **Rich remittance detail** in any format
- ✓ 24/7 access to payment status and details

Clients and suppliers benefit

Strategic Payables

from J.P. Morgan owned payment rails



Basic ACH

- ✓ **Digitize** payments with paper check reduction
- ✓ Robust payment **validation services**
- ✓ **Secure storage** of supplier banking information
- ✓ Paymode Member Services Self-Service

Check



- ✓ **Mitigate fraud** from in-house check printing
- ✓ **Reduce expenses** with bulk printing/postage
- ✓ **Robust reconciliation & reporting** via JPM Access
- ✓ **Fast delivery** next day processing, J.P. Morgan print facility

Unmatched security with Paymode's 300 defensive layers



Secure payments
against outside threats



Reduce the risk of
check fraud



Secure critical bank
data



Prevent account takeovers
and unauthorized access

How Strategic Payables helps protect payments

- Blacklisted and Proxy IPs
- Digital Bank Authentication
- Automated Fraud Analysis Model
- Device Fingerprinting
- Network Wide Shared Threat Intelligence
- OFAC

ZERO
fraudulent
payments
while protecting
over \$1 trillion
in payments
over the last 3
years

- Phone and Email Analysis
- Document Review
- Digital Identity Verification
- Intelligent Business Data
- Layered MFA & Behavioral Analytics

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Payment File Analysis & Conversion Metrics

	VENDORS	TRANSACTIONS	SPEND
AP File Totals	625	5,981	\$761,331,684
LESS: Exclusions	144	771	\$87,000,863
Electronic Payment Targets	481	5,210	\$674,330,822
Virtual Card Conversion	69	727	\$6,386,015
Premium ACH Conversion	50	615	\$22,591,936
Basic ACH Conversion	227	2,297	\$414,899,215
Card & ACH Conversion %	55%	61%	58%
Paymode Network Matches	170	2,080	\$322,120,878
Paymode Network Matches %	27%	35%	42%

Your Future State with Strategic Payables

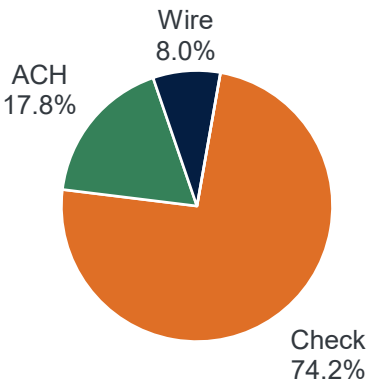
When you join the Paymode network, you increase check conversion to electronic payments. This means, you have **more ways to potentially save and earn money.**

2,080 (35%) of your transactions, which equals \$322,120,878 (42%) of your spend, paid to 170 (27%) of your vendors...

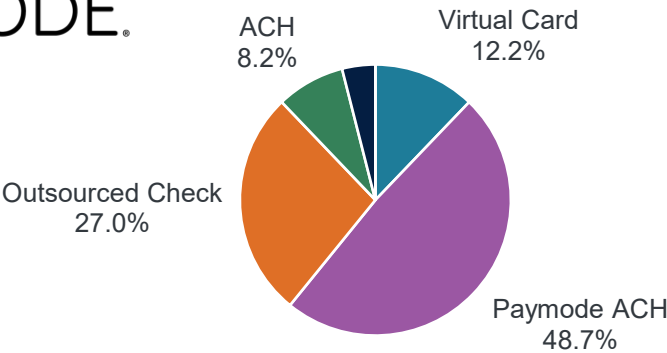
...are already part of the Paymode network

PAYMENT MIX

Current State



Virtual Card	0
Paymode ACH	0
Check	4,436
ACH	1,065
Wire	480
Card	0
Total	5,981



Virtual Card	727
Paymode ACH	2,912
Outsourced Check	1,615
ACH	489
Wire	237
Card	0
Total	5,981

*These results are projections and values are not guaranteed

Strategic Payables may Save You Money

This is **what you could potentially earn and save** with Strategic Payables.

ANNUAL COST SAVINGS

\$28,598

ANNUAL REBATE

\$123,131

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Virtual Card Payments

GOAL

Drive higher returns in the form of rebates as Vendors pay interchange for virtual card and remittance data.

VENDOR POPULATION

This target group is made up of your Vendors already accepting Virtual Card, and those who are a prime candidate to receive this interchange centered payment method based on their spend profile, industry, and type of payments received from you.

PAYMENT FILE ANALYSIS

	Spend	Transactions	Vendors
VC Migration	\$0.0K	0	0
Day One	\$3.9mm	531	50
Campaign / Expected	\$18.4mm / \$2.5mm	1,032 / 196	80 / 19
VC Conversion	\$6.4mm	727	69

**These results are projections and values are not guaranteed*



\$1.8k
AP Payment Cost Savings



\$52.5k
Rebates



\$13.1k
Working Capital



\$67.5k
Total Benefit

Premium Network Payments

GOAL

Drive additional returns in the form of rebates (Dividends) as Vendors pay for enhanced ACH and remittance data.

VENDOR POPULATION

This target group is made up of your Vendors already accepting Premium ACH today (your “exact matches”) and those who are a prime candidate to receive this payment method at the Network Fee based on their spend profile, industry, and type of payments received from you.

PAYMENT FILE ANALYSIS

	Spend		Transactions		Vendors	
Day One	\$11.3mm		273		23	
Campaign / Expected	\$326.9mm /	\$11.3mm	2,322 /	342	138 /	27
Premium Conversion	\$22.6mm		615		50	

*These results are projections and values are not guaranteed



\$1.5k
AP Payment Cost Savings



\$70.6k
Rebates¹



\$72.1k
Total Benefit

Basic Network Payments

GOAL

Drive further payment automation with Vendors that will not pay for Premium ACH but will accept ACH.

VENDOR POPULATION

Strategic Vendors with repeat transactions and/or high spend; transactions that must be paid in full (utilities, rent, etc.).

PAYMENT FILE ANALYSIS

	Spend	Transactions	Vendors
Day One	\$285.0mm	321	29
Campaign / Expected	\$209.3mm / \$129.9mm	2,904 / 1,976	303 / 198
Basic Conversion	\$414.9mm	2,297	227

**These results are projections and values are not guaranteed*



\$7.6k

AP Payment Cost Savings



(\$1.2k)

Transaction Fees on projected annual volume (\$0.53/trans)



\$6.4k

Total Benefit

(\$7.9k)

1X Vendor Setup Fees over the life of the program (\$35/setup)

Outsourced Check Payments

GOAL

Reduce staff burden and cost of in-house check production by outsourcing to Paymode.

VENDOR POPULATION

Vendors and other Payees that are not a fit for either ACH payment option.

PAYMENT FILE ANALYSIS

	Spend	Transactions	Vendors
Check Print	\$36.2mm	596	126
Card & ACH Declines	\$30.4mm	1,019	117
Total	\$66.6mm	1,615	243

**These results are projections and values are not guaranteed*



\$4.5k
AP Payment Cost Savings



\$3.7k
Transaction Fees on projected annual
volume (\$1.50/check + postage)



\$0.8k
Total Benefit

AP Automation: ROI Summary

PAYMENT TYPE		REBATE		COST SAVINGS		RECURRING FEES		ANNUAL NET BENEFIT	ONE TIME COSTS
	Virtual Card Payments	52,531	+	14,941	–	0	=	67,472	0
	Premium Network Payments	70,600	+	1,522	–	0	=	72,121	0
	Basic Network Payments	0	+	7,646	–	1,217	=	6,428	7,945
	Outsourced Check Payments	0	+	4,490	–	3,683	=	808	0
TOTALS		123,131	+	28,598	–	4,900	=	146,829	7,945

**These results are projections and values are not guaranteed*

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Summary



Thank you for your time today!

- JPM | Paymode to provide further details on follow-ups.
- Schedule the next discussion to answer open questions.

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AP Automation Cost Savings Detail Summary

COST SAVINGS DETAIL

	Payments Converted from Check	Payments Converted from ACH	Payments Converted from Wire	Payments Converted from Card	Cost Savings
Virtual Card	642	85	-	-	\$1,819
Premium ACH	536	79	-	-	\$1,522
Basic ACH	1,642	412	243	-	\$7,646
Outsourced Check	1,615	-	-	-	\$4,490
Total	4,435	576	243	-	\$15,476

**These results are projections and values are not guaranteed*

Cost savings will be
\$15.5k assuming current
transaction costs are:

\$2.78 per Check

\$0.40 per ACH

\$12.00 per Wire